

table. In every one of them the value of money significantly declined. These declines ranged from a minimum in Switzerland, where at the end of the ten-year period money would buy 85 per cent of what could be purchased ten years before, to the other extreme in Chile, where in ten years it had lost 95 per cent of its former value. In the United States this decline amounted to 29 per cent and in Canada to 35 per cent. This means that in the United States the annual rate of monetary depreciation during the period was 3.4 per cent, and in Canada it was 4.2 per cent. In contrast, the yield offered by United States Government bonds bought at the beginning of the period, which admittedly was one of rather low interest rates, was only 2.19 per cent. This means that the holder of this type of high-grade, fixed-income security actually received negative interest (or loss) of better than 1 per cent per annum if the real value of his money is considered.

Suppose, however, that instead of acquiring bonds at the rather low rates that prevailed at the beginning of this period, the investor could have bought them at the rather high interest rates that prevailed ten years later. The First National City Bank of New York in the same article also supplied figures on this matter. At the end of the period covered in the article, they estimated the return on United States Government bonds at 3.27 per cent, which still would leave no return whatever, actually a slight loss, on the investment. However, six months after this article was written, interest rates had risen sharply, and were above 3.5 per cent. How would the investor actually have fared if he had had the opportunity at the beginning of this period to invest with the highest returns that have prevailed in over a quarter of a century? In the great majority of cases he would still have gotten no real return on his investment. In many instances he would have had an actual loss. This is because nearly all such bond purchasers would have had to pay at least a 20 per cent income tax on the interest received before the genuine rate of their return on the investment could have been calculated. In many cases the bondholder's tax would have been at a considerably higher rate, since only the first \$2000 to \$4000 of taxable income qualifies at this 20 per cent level. Similarly, if an investor had purchased tax-free municipal bonds at this all-time high, the somewhat lower interest rate that these tax-free securities carry would again not have provided any real return on his investment.